

The performance benefits of being brand-orientated

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Abstract

Purpose – This paper aims to undertake an empirical study to investigate the nature and magnitude of potential benefits that accrue to firms that have a high level of brand orientation.

Design/methodology/approach – A quantitative study is undertaken. The sample of firms surveyed included more than 400. The scope of the study included measuring the level of brand orientation among other variables. A conceptual model linking brand orientation and performance is developed and tested.

Findings – The overall structural model fits the data well, giving confidence to interpreting the individual paths within the model. The main result is a very strong positive relationship between brand orientation and brand performance. Brand orientation also exerts another, less direct influence on performance, via brand distinctiveness. Innovation mediates the influence of brand distinctiveness.

Research limitations/implications – The most obvious limitation is that the study pertains to one country only at this stage, pending more applications. The implication for firms is a very strong endorsement of the importance of using branding as a central driver of the entire marketing strategy process. The study identifies a number of brand barriers that stand in the way of becoming brand-oriented. Recognising these brand barriers may assist firms to make progress towards becoming more brand-oriented.

Originality/value – This is one of the first studies to quantify the performance benefits of being brand-oriented. The study is also among the first to include the role of brand distinctiveness as a potential influence on brand performance.

Keywords Brands, Brand identity, Innovation, Business performance

Paper type Research paper

An executive summary for managers and executive readers can be found at the end of this article.

Introduction

The branding literature has developed considerably over the past decade or two, with considerable understanding of the nature of branding and in the formulation of effective branding strategies. More recently, the emphasis has moved to branding metrics; that is, to measuring the performance impact of brands. The current paper focuses on the performance impact of brand-orientation, through undertaking a quantitative study.

Most of the previous literature on brand orientation has been conceptual. It has focused on corporate and marketing planning around a brand. A brand becomes the centre point in the whole planning process. In finding a competitive advantage in the marketing planning stage, the attitude towards the brand orientation plays a critical role as to whether a brand is to be utilised. Urde (1999) defines brand orientation as “an approach in which the processes of the organisation revolve around the creation, development, and

protection of brand identity in an ongoing interaction with target customers with the aim of achieving lasting competitive advantages in the form of brands.” By using brands as a starting point in the formulation of company strategy, brand orientation should be created as a precondition, with well-established brands able to enhance the ability of companies to compete as well as generating growth and profitability (Urde, 1994; Wong and Merrilees, 2005, 2007). Brand orientation is thus a choice of strategy that would determine firms’ competitive edge with consequence of their future survival in the long term.

Brands become an unseparated part of a firm’s value and an important strategic asset. It could even be the driver of the whole marketing planning process. Going beyond a tactical level in the marketing planning process, a brand could become a competitive advantage for firms. Mosmans (1996), recognising the strategic importance of a brand, argues that a brand can be considered as an integrated marketing idea driving the business. Mosmans and van der Vorst (1998) further advance that firms should shift from brand strategy to brand based strategy that plays a critical role in selecting and maintaining a strategic direction for a company. That means strategic decisions should be driven by the brand, which is a central focus of a firm. In fact, it is argued that senior management should be responsible as the custodian of brands (Capon *et al.*, 2001). Douglas *et al.* (2001) go one step further to suggest that brands can play a critical role in establishing a firm’s visibility and position in international markets. The potential importance of brand orientation has been well documented in the literature. The literature on brand

The current issue and full text archive of this journal is available at www.emeraldinsight.com/1061-0421.htm



Journal of Product & Brand Management
17/6 (2008) 372–383
© Emerald Group Publishing Limited [ISSN 1061-0421]
[DOI 10.1108/10610420810904112]

orientation is built upon both conceptual development (Simoes and Dibb, 2001; Urde, 1999) and case studies that suggest that brand orientation can enhance firm's performance (Urde, 1994; Wong and Merrilees, 2005). While a number of models advocate understanding brand orientation, there is lack of empirical evidence to examine the performance outcomes.

Literature review

Apart from the core concept of brand orientation, as above, the literature also discusses additional aspects or concepts that may bear some relationship to brand orientation. Such additional concepts include brand barriers, innovation, brand distinctiveness and firm performance.

Brand barriers

Developing a successful brand needs resources, efforts and a belief in the concept of branding. In lack of one of these could become a hindrance of developing a brand. The extant literature on barriers in marketing discipline has concentrated on market orientation barriers (Harris, 1996; Messikomer, 1987), export barriers (Leonidou, 1995; Ramaswani and Yang, 1990), internationalisation barriers (Fillis, 2002). In studying export barriers, Ramaswani and Yang (1990) theorised that export knowledge, internal resource constraints, procedural barriers and exogenous variables are the sources of export barriers that affect firms' export performance. Similarly, Fillis (2002) argued that firm and managerial factors and external factors are the impediments of internationalisation. Messikomer (1987) identified the value, beliefs and assumptions of the firm are barriers of market orientation. In order to obtain higher levels of market orientation, it is necessary to gain the "hearts and minds" of organisational members (Harris, 1996). A mindset that holds a belief, understanding and commitment is crucial in market orientation. These studies, in general, posit that the sources of barriers of an adaptation of a business approach mainly are knowledge, internal resource constraints, external factors, belief and commitment. While these studies are very specific to a particular phenomenon of running a business, limited attention has been given to the role of brand barriers.

Wong and Merrilees (2005) shed light on brand barriers by arguing that SMEs have limited resources to employ in developing their brands. Moreover, managers and/or owners of SMEs are so heavily involved in daily operation that they do not have spared time to take care of branding activities. This situation in restaurant industry is referred as control-based system that a restaurant is run like a machine (Muller, 1999). This traditional model should give way to an emerging trend that is to become consumer-driven brand management (Muller, 1999). In order to overcome the brand barriers, there is a need to examine what exactly the role of brand barriers is so that managers can endeavour to avoid them.

Innovation

Innovation is one of the most important factors to help a firm to succeed in international markets. Innovation is the means by which firms either creates new wealth-producing resources or endows existing resources with enhanced potential for creating wealth (Drucker, 1998). A global firm Procter &

Gamble, having suffered from price competition, has recognised that they have been unable to differentiate itself through innovation (Economist.com, 1999). Managers could involve members of front line staff in developing innovative approach. Involving them is more likely to make useful suggestions, as they feel being part of a whole process. The involvement of front line staff as an innovative process brings out an issue that new ideas are not bound to be the responsibility of R&D department. All the stakeholders including staff, channel members, suppliers, customers, and competitors should be the potential input of new ideas. The new ideas can then be adapted and materialised in order to achieve maximum level of innovation. Innovation is not only for established businesses, but also for public service institutions, or new ventures. Innovative firms irrespective of size or industry can reap all the advantages of a first mover (Kanter, 1999) with consequence of being able to enhance their strategic competitiveness and financial performance (Mone *et al.*, 1998).

Empirical findings have confirmed the importance of innovation. Research results show that firms involved in international business that invest more in innovation achieve the highest returns on investment (Deshpandé *et al.*, 1993; Franko, 1989; Price, 1996). Firms that can produce value-creating innovations over their competitors and that can protect innovations from imitation by competitors are a positive indicator of innovation's ability to be a basis of competitive advantage (Wilke and Zaichkowsky, 1999). Innovation, being a key to giving customers what they really, would be more widespread only if firms can outperform their competitors (Barwise and Meehan, 2004). Innovation is not only a process of creating a product or service from an invention, but also to do better than the competitors create. Yet, the role of innovation in branding, especially brand performance, needs to be tested empirically in the branding literature.

Firm performance

Since business performance is an important area, it attracts considerable amount of attention in marketing literature (Cavusgil and Zou, 1994; Morgan *et al.*, 2002; O'Cass and Julian, 2003; Ogunmokun and Ng, 1999; Styles, 1998; Wong and Merrilees, 2005, 2007) and in the strategic management literature (Calantone and Knight, 2000; Chen and Hu, 2002; Pan and Chi, 1999; Prescott, 1986; Slevin and Covin, 1997). However, the construct has not been adequately developed and tested due to the conceptual and methodological problems (Keats, 1988; Lewin and Monton, 1986).

Firm performance in the marketing literature has been rooted in the concept of microeconomics such as profit maximisation (Styles, 1998). Profit is said to be maximised when marginal revenue equals to or bigger than marginal cost. As a result, one of the streams of the marketing objectives is concerned with the measure of profit such as return on investment (ROI) and profit to sales ratios. Another stream has focused on the sales-driven measures such as sales growth and market share (Day and Wensley, 1988). These are referred to as objective measurements. In addition, marketing literature also shows that firms can have goals focused on competitor (Day and Wensley, 1988) or associated with geographic emphasis (Appiah-Adu, 1999; Beamish and Craig, 1993). These are generally referred to strategic objectives.

Brand distinctiveness

One of the essential aspects of branding is brand distinctiveness. It is the art of being unique and desirable by target customers. Firms endeavour to create some form of brand distinctiveness to avoid their products being viewed as commodities (McQuiston, 2004). Brand distinctiveness also generates competitive advantage for firms. Customers have no basis for choosing a particular brand over others if a brand is not perceived to be different (Aaker, 2003). Brand can be distinctive in a number of ways. It can be playing the role of a symbol of ownership for legal purposes (de Chernatony and Riley, 1998). Brand can also be a means of identification that guarantees consistency of offerings with a consequence of becoming a shortcut in decision-making in the long run (Goodyear, 1996). Brand distinctiveness is different to product differentiation. The former is concerned about the differentiation of a brand in consumers' minds, while the latter is very much based on physical product attributes. Coca-Cola and Pepsi-Cola have managed to maintain their brand differentiation, irrespective of the similarities of their physical product. In other words, differentiated brands can be based on a feature, service, program or ingredient (Aaker, 2003). It is argued that building successful brands by delivering differentiating benefits is more viable than by focusing solely on product attribute such as product quality (Aaker, 2003; Agres and Dubitsky, 1996). Brand distinctiveness becomes a tool that can help firms to stand out from the crowd.

Conceptual papers have recognised the importance and contributions of brand differentiation for firms to attain competitive advantage over their competitors (Aaker, 2003; Barwise and Meehan, 2004). Case studies have been used to examine the multidimensionality of brand differentiation for industrial products (McQuiston, 2004) and the relationship of brand equity and brand differentiation by using both quantitative and qualitative terms of benchmarking (Ahmed and Zairi, 1999). There are a few empirical studies to look at the role of brand distinctiveness. One of them is to study the impact of image differentiation capability on firm performances in fashion retailing industrial (Moore and Fairhurst, 2003). In another study of retailing industry, a significant relationship has been found between brand distinctiveness and merchandise advantage (Bridson and Evans, 2004). Agres and Dubitsky (1996) have found a pattern of developing a successful brand going through a progression from differentiation to relevance to esteem and then to knowledge. Their study has established that the fundamental success of a brand is built upon brand differentiation. The extant literature on brand distinctiveness lacks the empirical antecedent of brand distinctiveness.

Construct development

Innovation (inno)

Innovation represents the level of innovation of a firm in terms of its marketing management approach. Innovation is suggested to be one of the most critical factors determining business success today in domestic and international markets (Day, 1996; Golder, 2000; Wind and Mahajan, 1997). It is considered to be the practical application of ideas to make use of the firm's capabilities in an effective way and it goes beyond

the products and service level to include process and systemic change (Cram, 1996). Thus, the items of this construct include both product/service level and the process aspect. Innovation would enjoy success if firms can deliver the product category benefits better and more reliably than their competitors (Barwise and Meehan, 2004; Wong and Merrilees, 2007). As a result, the items of this construct tap into the aspect of competitive facet. Six items are used to measure the innovation construct.

Brand orientation (bo)

Brand orientation is a mindset that ensures that the brand will be recognised, featured and favoured in the marketing strategy. It is related to mindset issues that would give direction of a firm in terms of strategic marketing planning. The orientation of a brand is believed to be the first step by which a firm build up its competitive advantages in markets. Brand orientation is a state-of-mind process to form a basis for the development of a firm's marketing activities (Urde, 1994, 1999). This construct is operationalised by five items used by Wong and Merrilees (2007).

Brand distinctiveness (bd)

Brand distinctiveness is a combination of measures that indicate the uniqueness and superiority of a brand in a market. It is more than just a name slapped on a product feature (Aaker, 2003). Brand distinctiveness should represent various aspects of a brand that pertinent and substantial enough for marketers to influence target customers to purchase their product or service. In order to maintain brand distinctiveness in the long run, marketers need to have a clear brand vision that helps design brand-based strategies (Davis, 2002; de Chernatony, 2001; Hatch and Schultz, 2001; Urde, 1994, 1999). Brand distinctiveness is an important strategic element a firm can deploy for its future growth and direction, clarifying the direction as to the role of the brand in the firm with an aim to achieving long-term strategic and financial growth goals (Davis, 2002). Brand distinctiveness can be achieved by positioning the brand in the market, which can project an image to customers who see the unique values offered to them. Since no appropriate scale of brand distinctiveness in the extant literature can be found for this study, new items are developed for this study.

Brand barriers (bb)

Brand barriers refer to beliefs and actions that can hinder the development of a brand. This construct is operationalised by the results drawn from the literature, eight in-depth interviews and reliability test. The items composing the construct are mainly concerned about the potential obstacles that can hinder firms to focus their businesses on the brands. As one executive indicated in the interview, "we are too busy with the daily operation of the business to worry about our brand." Branding was not considered as essential to their firm's strategy. Also, "branding activities are too costly" was mentioned by another executive. Branding was not recognised as important and he was unwilling to invest in building a brand. Wong and Merrilees (2005) suggested that the unavailability of the financial resources and time can be the obstacles of developing a brand. From the tri-method approach, there are five items developed to measure the construct.

Brand performance (bp)

Brand performance refers to how successful a brand is in the market. It intends to measure the strategic achievements of a brand. As a result, economic measures are inappropriate for this construct. Brand awareness, reputation, and loyalty were suggested as important performance of a brand (Chaudhuri, 2002; Chaudhuri and Holbrook, 2001; Reid, 2002; Wong and Merrilees, 2007; Zeithaml, 1988). With hundreds of buying decisions to make every day, dozens of products to choose from and hundreds of promotional messages to come across, a customer most of the time relies on habit; that is they buy brands that have proved satisfactory in the past (Doyle, 1990).

Financial performance (fp)

Financial performance has been a recurring theme in the marketing literature (Calantone and Knight, 2000; Cavusgil and Zou, 1994; Shoham, 1999). In this study, the quantitative aspect of performance of the firms is measured based on the studies of Calantone and Knight (2000) and Shoham (1999). The combination of the scales of these two studies enables this study to measure the financial dimensions of the firms' performance.

Hypotheses development

Brand orientation is related to mindset issues that would give direction of a firm in terms of marketing deployments. The orientation of a brand is believed to be the first step by which a firm builds up its competitive advantages in the target markets. When brand orientation is great in a firm, are the strongest and most stable values that firms can count on. Brand distinctiveness refers to a firm's success in developing the brand based on distinctive products/services or any other marketing activities (such as distribution). It becomes a potential marketing edge for the firm to succeed in long term. Focus is an essential element in brand distinctiveness. Limited resources of firms compel them to pursue the brand distinctiveness with concentration on certain potential areas. Focus can help marketers develop the distinctive products/services desired by customers. It is very much a "state of mind" process to establish a foundation for the branding efforts in firms' marketing activities. This approach can guide the brand orientation in branding activities and clarify how important is brand orientation within the marketing strategy. Thus:

H1. Brand orientation is a positive determinant of brand distinctiveness.

Brand building could encounter a number of barriers that causes the lack of emphasis of branding activities. Brand building and development is a continuous effort that requires a great deal of time and resources. Some firms may find it hard to allocate the budget to invest in a brand. Branding is deemed to be too costly for them. Even some firms are able to afford it; the risk of financial loss could be very high because investment in branding may not be recovered. Time constraint is another factor that hinders firms from developing a brand. Marketers are too busy in daily operation, making sure that the firms are run in an efficient manner. They do not have time available for them to look into any brand-building activities. Some firms take on even a more extreme belief that branding is a cost, not an investment.

They are more concerned about getting a dollar today than devoting resources to a marketing campaign. Finally, some firms may consider branding to be not relevant to their businesses. All these factors contribute to the obstacles for brand-oriented firms. Thus:

H2. Brand barriers is a negative determinant of brand orientation.

Brand orientation could enhance the overall marketing performance by a number of means. Brand orientation could enhance firm's reputation and build strong brand awareness. It could even foster brand loyalty that leads to certain marketing advantages such as lower marketing costs, new customers, and greater trade leverage (Calderon *et al.*, 1997). Brand orientation could create brand loyalty and awareness that can reduce marketing cost and price premium. Brand awareness and perceived quality of a brand can attract new customers. Brand reputation is argued to be one of the important factors influencing firm performance (Herbig and Milewicz, 1997). Other benefits that brand loyalty can bring to a firm include favourable word of mouth and greater resistance among loyal consumers to competitors' strategies (Calderon *et al.*, 1997; Dick and Basu, 1994). Positive relationships between brand loyalty and market share and brand performance have been found in an empirical study (Chaudhuri and Holbrook, 2001). All these suggest that the overall marketing performance can be increased with the marketing activities being more brand oriented. Thus:

H3. Brand orientation is a positive determinant of brand performance.

Brand distinctiveness provides strategic direction for a firm to deploy its strategies. Brand distinctiveness refers to a firm's success in developing a brand based on distinctive products/services or any other marketing activities (such as distribution). It becomes a potential marketing edge for the firm to succeed in long term. Focus is an essential element in brand distinctiveness. Limited resources of firms compel them to pursue the brand distinctiveness with concentration on certain potential areas. Focus can help marketers develop the distinctive products/services desired by customers. It is very much a "state of mind" process to establish a foundation for the branding efforts in firms' marketing activities. Brand distinctiveness can become an impetus for firms to come up with innovative products, services and processes. Brand distinctiveness is a valuable strategic initiative to the innovation level. For example, Callaway Golf's drive for brand distinctiveness pushes the firm to produce a constant stream of innovative new products (Mancuso, 1997). In order to provide unique experience to its customers, Starbucks innovatively makes use of authenticity to support their brand (Schultz, 1999). The brand distinctiveness can drive the innovativeness of the firms. Thus:

H4. Brand distinctiveness is a positive determinant of innovation.

Literature has shown that innovation can enhance firm performance in general (Merrilees and Miller, 2001a, b; Noble *et al.*, 2002). At the brand level, empirical evidence also showed that innovation was a positive determinant of brand performance in the context of small and medium size firms (Weerawardena *et al.*, 2006). Innovation can substantiate a brand's competitiveness. Brands need continuous innovative

products/services to outperform their competitors in the markets. Thus, firms need to have systems in place, which can identify, select and implement innovative ideas that can help build the brands. Innovative ideas for products/services can draw the attention of the target customers; that is brand awareness. When a firm's innovation system is better than that of its competitors', its brand is more likely to create a better reputation with the consequence of building customer brand loyalty. Thus:

H5. Innovation is a positive determinant of a firm's brand performance.

Positive relationship between brand loyalty and market share has been found in an empirical study (Chaudhuri and Holbrook, 2001). Chaudhuri (2002), in an empirical study, discovered the relationship between brand reputation and brand sales and market share. When a brand is able to create awareness, the firm is in the first step to attract the customers to purchase the brand. Projecting a positive brand image and building a solid reputation can reinforce the target customers that purchasing the brand can satisfy their needs and wants. Customers loyal to a brand can reduce the costs of attracting new customers. All these may have direct impacts on the firms' financial performance such as sales growth, market share, and profitability. Thus:

H6. Brand performance is a positive determinant of financial performance.

Figure 1 shows the hypothesised relationships between the constructs.

Research method

The study adopted a mail survey method applied to a business directory in South-East Queensland, Australia. The final sample size was 403, representing a response rate of 18 per cent. The response rate is comparable to the other industrial mail surveys as quoted by Hart (1987). Questionnaires were sent to senior executives such as CEOs, marketing managers, general managers, managing directors who are extensively involved in the operations of their firms. Consequently they are knowledgeable about marketing activities. The sample represents a wide range of industries including retailing, manufacturing and services industries. Table I shows sample characteristics of the firms. Existing measures were used whenever appropriate in the questionnaire. Pre-test had been

Table I Sample characteristics

	<i>n</i>	Percentage of firms
A. Business of firm		
Retailing	161	40
Service	141	35
Manufacturing	61	15
Others	40	10
Total	403	100
B. Number of staff		
1-10	202	50
11-30	113	28
31-50	28	7
51-100	28	7
101 or more	28	7
Missing	4	1
Total	403	100

carried out before the final questionnaires were mailed out to the sample in full. Some wordings and structure of the questionnaire were changed in response to the feedbacks from the pre-test respondents. Data collected from the full survey were then inputted in SPSS for reliability and validity tests and AMOS for measurement and structural modelling. Interval scales ranging from 1 (strongly disagree) to 7 (strongly agree) were used for all the items, except financial performance that was measured by 1 (decreased enormously) to 7 (increased enormously).

Results

Construct reliability and validity

To examine the reliability of the scales, the Cronback's alpha test was used. The coefficient measures of the items below 0.6 were dropped to maintain the internal consistency reliability. All Cronback's alphas of the constructs are above 0.80, as shown in Table II, indicating satisfactory internal consistency reliability (Francis, 2001; Robinson *et al.*, 1991). Content validity was achieved by having a comprehensive literature review and industry managers' opinions inputted in the survey. The critical ratios of all the items were found statistically significant at the 0.05 level, demonstrating strong convergent validity of the measurement level. The discriminant validity was examined by the method advocated by Fornell and Larcker (1981). Table III depicts the average variance extracted in exploratory factor analysis in pairs and the squared correlations of all the constructs. The results confirmed the discriminant validity of all the items.

Measurement and structural model analysis

Partial disaggregation technique was used for both measurement and structural analyses to reduce random error of a complex model (Bagozzi and Heatherton, 1994; Bandalos and Finney, 2001; Dabholkar *et al.*, 1996; Little *et al.*, 2002). This technique leads to more interpretable and meaningful results and has been used in marketing studies (Dabholkar *et al.*, 1996).

Measurement model was performed before the structural model because the model must hold before the test of the hypothesised relationships among constructs should be

Figure 1 Hypothesised relationships between the constructs

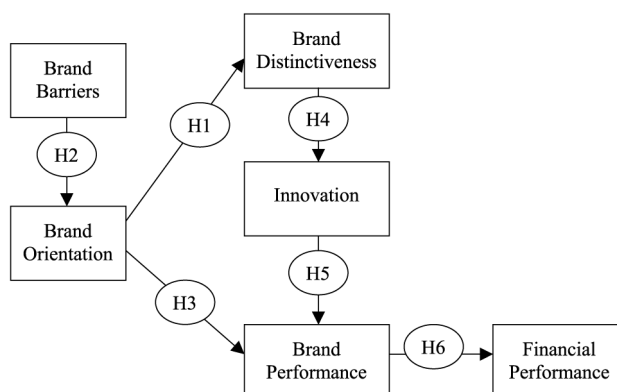


Table II Reliability test results

	Loading
Innovation (reliability = 0.85)	
We actively engage in wide search for new ideas	0.60
We carefully think through how new ideas need to be adapted for our business	0.60
We have good system of identifying, selecting and implementing innovation on a regular basis	0.65
Compared with competitors, we have a high rate of product/service innovation	0.73
Compared with competitors, we have a high rate of process/organisation improvement	0.61
Over time, we have been very successful with overall innovation in recent years	0.62
Brand orientation (reliability = 0.94)	
Branding is essential to our strategy	0.85
Branding flows through all our marketing activities	0.78
Branding is essential in running this company	0.88
Long-term brand planning is critical to our future success	0.79
The brand is an important asset for us	0.84
Brand distinctiveness (reliability = 0.83)	
Our firm has a different approach or position in the market compared with our competitors	0.66
Our overall marketing strategy is very distinctive	0.67
We know our main strengths and that really helps us compete in the market	0.60
Our products/services are differentiated from those of the competitors	0.63
We know where we are heading in the future and how to market the business to get there	0.60
Brand barriers (reliability = 0.86)	
Branding activities are too costly for us	0.60
We are too busy with the daily operation of the business to worry about our brand	0.72
Branding is not that relevant or necessary for small firms	0.74
Branding is not needed until we grow a lot bigger	0.72
Short-term selling is more important than branding	0.62
Brand performance (reliability = 0.83)	
Our advertising/promotions create the desired brand image in the market	0.60
Our firm has built a strong brand awareness in the target market	0.70
Our firm has built a solid reputation	0.65
We are very satisfied with our brand marketing	0.65
Our firm has built strong customer brand loyalty	0.60
Financial performance (reliability = 0.87)	
Growth rate of sales in the last 12 months	0.75
Market share in the last 12 months	0.62
Profitability of your firm in the last 12 months	0.79
Overall financial performance in the last 12 months	0.72

performed (Anderson and Gerbing, 1988; Cheng, 2001). Table IV shows various fit indices of measurement and structural models. All fit indices except chi-square illustrate satisfactory results. The significant Chi-square test result is undesirable but it may be due to large samples that may be due to the large sample size (Anderson and Gerbing, 1988; Bacon, 1997; Cheng, 2001; Hair *et al.*, 1998, p. 655; Hoyle, 1995; Purdie and Hattie, 2002). With an aim to examining the limitation of the impact of large samples on the chi-square index, two other measures, Normed chi-square and the standardised root mean square residual (SRMR) with cutoffs 3 or less (Carmines and McIver, 1981; Kline, 1998) and 0.08 or less (Asmundson *et al.*, 2002; Hu and Bentler, 1999; Kline, 2005; Lindwall, 2004) respectively, were introduced. These two indices were also found satisfactory, suggesting that the significant chi-square statistics may be caused by the large sample size. All these fit indices indicate the acceptance of the model. Figure 2 shows the fitted model with correlations, the regression coefficients, and the *R*-squared values.

Table V summarises the results of standardised coefficients, *t*-statistics and significant level (*p*-value) of all the hypotheses in the model. All six hypotheses achieved statistically significant results with *p*-values less than 0.01. One path demonstrates negative relationship and five paths positive relationships between the constructs. The standardised coefficients of the six paths range from 0.29 to 0.74. The two most significant paths are *H2* (brand barriers to be a negative determinant of brand orientation) and *H4* (brand distinctiveness determining innovation), with standardised coefficients of -0.65 and 0.74 respectively.

Discussion

The overall model of brand-management presented in this paper works very well in a statistical sense. The overall fit of the model is good and each of the six paths has the postulated direction and is statistically significant. Thus we can have a high degree of confidence in the results.

The main finding is that brand orientation has a large and positive influence on brand performance. To clarify whether or not there was such a relationship was the chief rationale of the study. It was not known, *a priori*, whether the relationship would be positive, as large as it is (standardised beta coefficient of 0.51) and as statistically significant as it is (at the one percent level). So the results are consistent with a very sizable direct performance impact that is associated with brand orientation. Additionally, brand orientation has a further, this time, indirect influence on brand performance, through brand distinctiveness and innovation. Adding together the direct and indirect effects, the results suggest that one can be confident in the positive performance impact of brand orientation.

Apart from emphasising the importance of being brand orientated, the study also identifies the important contribution of another branding variable, brand distinctiveness. It is not sufficient to place high regard on branding. It is also necessary that the brand itself is focused, powerful and differentiated from competitors. Expressed differently, this is the requirement for a strong brand. The results suggest that innovations are the means through which strong (and strengthened) brands are enacted.

Table III Discriminant valid test using AVE and correlation methods

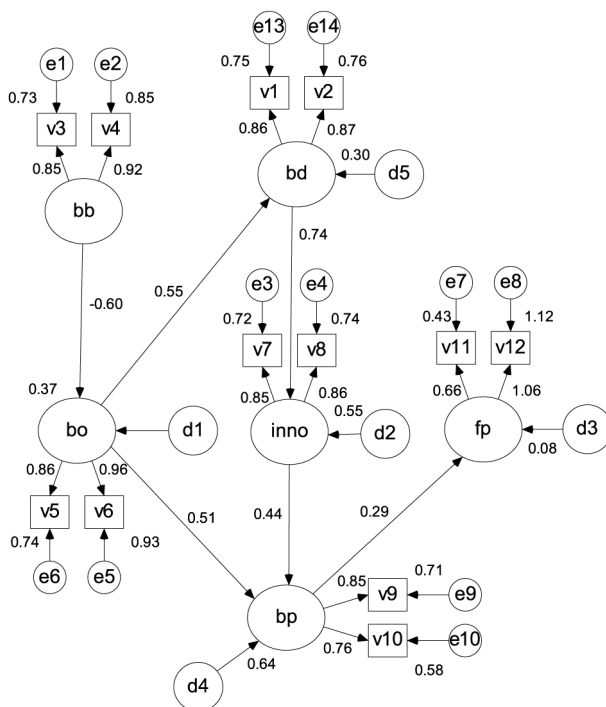
Constructs	Brand barriers	Brand orientation	Innovation level	Brand performance	Financial performance	Brand distinctiveness
Brand barriers	–	70%	63%	60%	66%	61%
Brand orientation	0.24	–	74%	70%	76%	69%
Innovation level	0.02	0.15	–	60%	68%	58%
Brand performance	0.07	0.24	0.29	–	63%	60%
Financial performance	0.06	0.14	0.06	0.05	–	65%
Brand distinctiveness	0.06	0.21	0.40	0.23	0.03	–

Note: Upper and lower diagonals show average variance extracted results and squared correlations of the constructs respectively

Table IV Fit measures for the full structural model

Fit indices	Statistics for the measurement model	Statistics for the structural model	Bench mark	Acceptable or not
<i>Absolute fit measure</i>				
Chi-square	70.95 (39 df, $p = 0.001$)	98.70 (48 df, $p < 0.001$)	$p > 0.05$	N/A
AGFI	0.94	0.94	> 0.90	Yes
RMSEA	0.05	0.05	< 0.08	Yes
<i>Incremental fit measures</i>				
IFI	0.99	0.98	> 0.90	Yes
NFI	0.98	0.97	> 0.90	Yes
<i>Measures taking into consideration sample size</i>				
Normed chi-square	1.82	2.06	< 3	Yes
Standardised root mean square residual (SRMR)	0.06	0.06	< 0.08	Yes

Figure 2 Fitted model



Managerial implications

Although additional studies are required to establish generalisability, firms could take heart from the findings of the current study in terms of adopting the branding mantra as a foundation to their marketing strategies. To many firms this remains a difficult challenge because branding as a concept is still sometimes construed narrowly (as part of product), rather than as a broad strategic foundation. For these firms there are barriers in adopting the brand orientation philosophy. The current study has operationalised these brand barriers and shown that they do act to downplay the adoption of brand orientation in some firms.

Brand barriers, such as treating branding as optional and more of a cost than an investment, can be harnessed and controlled and turned around to become an opportunity (if reversed) and a means for a firm to become more brand orientated. That is, firms can use the five items in the brand barrier scale to become more aware of pressures within the firm that are impeding the adoption of a robust approach to brand orientation. Once aware, firms can implement policy changes that reduce the brand barriers.

The opportunities seem considerable. In about 42 percent of our sample, there were high brand barriers and in another 44 percent, there were moderately high brand barriers. Together, in about 86 percent of firms, there is some form of resistance to placing brand as the centre of their strategy.

Table V Path hypothesis confirmation using total population data

Model hypotheses		Results
H1. Brand orientation is a positive determinant of brand distinctiveness	Coefficient	0.55
	Critical ratio	10.62 ($p < 0.001$)
	Significant?	Significant
H2. Brand barriers is a negative determinant of brand orientation	Coefficient	−0.65
	Critical ratio	−12.23 ($p < 0.001$)
	Significant?	Significant
H3. Brand orientation is a positive determinant of brand performance	Coefficient	0.51
	Critical ratio	10.09 ($p < 0.001$)
	Significant?	Significant
H4. Brand distinctiveness is a positive determinant of innovation	Coefficient	0.74
	Critical ratio	13.37 ($p < 0.001$)
	Significant?	Significant
H5. Innovation is a positive determinant of a firm's brand performance	Coefficient	0.44
	Critical ratio	8.41 ($p < 0.001$)
	Significant?	Significant
H6. Brand performance is a positive determinant of financial performance	Coefficient	0.29
	Critical ratio	3.49 ($p < 0.001$)
	Significant?	Significant

Therefore, there is plenty of scope and opportunity for firms to utilise the results to improve their brand performance.

Nonetheless, the fact that brand barriers seem to have persisted for so long across so many firms, suggests that it would not be a quick or easy process removing brand barriers. It takes more than a magic wand that declares the firm as brand-orientated. Rather, the firm has to genuinely commit to the philosophy and incorporate it into all of its marketing and branding practices.

Additional to being brand orientated, the study also highlights the important contribution of brand distinctiveness. The study suggests that to maintain strong brands requires ongoing innovation. Managerially, this means that brand development is not a one-off event. Brand managers have to be alert to the need to refresh the brand and use innovative methods to do so.

Brand orientation and brand innovation were found to be the two most critical factors influencing brand performance and, in turn, financial performance. In terms of the branding metrics needed to support this high-performance framework, the study indicates three new metrics, in addition to the established, standard brand performance measures. The suggested new metrics are:

- 1 A brand innovation metric.
- 2 A brand orientation metric.
- 3 A brand barrier metric.

It is suggested that firms wishing to progress to a high brand performance introduce the above four branding metrics, to establish a benchmark. Progressively, the firm can introduce a new brand system. Every three or six months, firm can monitor and evaluate the new system.

Conclusion

The paper develops a structural model incorporating the links between brand orientation and brand performance. The broader model allows for both direct and indirect influences of brand orientation on performance. A special feature of the

model is that it allows for brand barriers, which potentially may thwart brand orientation. A sample of 400 Australian firms was used to test the model.

The results showed that all paths were the correct sign and statistically significant. Importantly, there was a strong, positive and very significant relationship between brand orientation and brand performance.

Further studies are needed to establish generalisability. However, the findings are consistent with a relatively powerful performance impact deriving from brand orientation. The paper also introduces a brand barrier scale. Firms can utilise the brand barrier scale as a practical tool to progress an organisation towards becoming more brand orientated.

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Executive summary and implications for managers and executives

This summary has been provided to allow managers and executives a rapid appreciation of the content of the article. Those with a particular interest in the topic covered may then read the article in toto to take advantage of the more comprehensive description of the research undertaken and its results to get the full benefit of the material present.

It pays to perform

Performance is the essence of what management is about. Measurement is the mantra as is no pain no gain. Much of management practice has leached across into business from the military – logistics say and a love of hierarchy. Performance would seem to have its origins in the world of sport. Few elite teams could look their competitors fully in the eye if they did not have a performance director in tow.

If military people are yesterday's heroes, sports men and women are today's. The de-mobbed would bring new approaches back to their workplaces. Today sporting heroes make an impact on the motivational speaking circuit. They have been through the fire in a proxy for war.

Performance matters, there are few aspects of leadership and management that matter more. This makes the study by Ho Yin Wong and Bill Merrilees into the performance benefits of brand orientation all the more timely. Theirs is an extensive piece of quantitative research with more than 400 Australian companies surveyed and their level of brand orientation examined. Their findings are worthy of note and careful consideration.

In business there are many ways to win an argument, but the performance card is a powerful one to play.

Modeling, interpreting and constructing an argument

It helps too to be able to demonstrate interrelationships between factors that can seem hard to pin down. Intuitive, creative discussions can be fun, they can be helpful, they can be cathartic, but more concrete demonstrations of relationships based upon evidence carry much more weight, particularly with those McGregor would describe as theory X managers who can deconstruct grand visions into basic building blocks.

Wong and Merrilees find a strong correlation between brand orientation and brand performance – which is to be expected, but is here comprehensively confirmed. It is a powerful component of any argument needed to justify brand orientation in a firm.

Brand orientation also leads to brand distinctiveness which leads on to brand performance – so again the argument for brand orientation is strengthened, with distinctive brands a means to performance.

Being brand oriented is simple to say – there cannot be many business leaders who would claim to be otherwise? It is devilishly hard to do. It takes hard work, ongoing hard work and the nous to know where the barriers are and where resistance will come from. Wong and Merrilees build these into their model and take account of the role of innovation.

Brand barriers exist in the minds of managers as much as anywhere – in the boardroom as well as among the other ranks. Branding can be deemed to be optional rather than essential to business success. Investing in brands can be

viewed as a cost rather than providing the engine for growth over the medium to long term.

This new model provides a clear picture – it helps things start to make sense.

The search for meaning

Sensemaking studies were once popular and maybe their time will come again. In 1995 Karl Weick wrote *Sensemaking in Organizations* and apart from doing the English language the mis-service of running two words into one had a powerful impact on thinking and learning. The brand manager's role is about action, but is about making the right calls when information seems lacking and ambiguous.

This Wong and Merilees model comes with the usual caveats of needing further testing, but there is always a wish to test to destruction. For most pragmatic managers it points to connections that are clear enough and good enough to use.

For the vast majority of organisations there is enough evidence here to win the argument for making branding central to marketing strategy. Some companies thrive on outsourced contracts to provide the engine room, the manufacturing hub, from which to build the brand of

others. More companies see the power, performance and profit from building their own brand.

It is not easy however. There are practical difficulties in pointing a firm in a new direction, or gaining acceptance of a sharper focus. There is a huge conceptual hurdle for many too. It was the nineteenth century Scottish author Robert Louis Stevenson who advised:

Don't judge each day by the harvest you reap, but by the seeds you plant.

Short-termism can rule, particularly in western business. But there is a more specific challenge to mental agility when it comes to brand management. Branding is perceived by many narrowly as a product. The words can sloppily be used in an interchangeable fashion. To really see the bigger picture, and the bigger performance opportunities, when it comes to branding a brand strategy needs to be thought through and embedded as a strategic foundation on which profitability can be built – if there is patience and careful attention to detail.

(A précis of the article "The performance benefits of being brand-orientated". Supplied by Marketing Consultants for Emerald.)